

Theresa Blades
The Hanover Company
1780 S. Post Oak Lane
Houston, TX 77056

RE: Hanover Development Joint Venture

Dear Theresa:

Kao Management Trust ("LP Partner"), on behalf of one or more of its affiliates, funds under management, and/or assignees, is pleased to present herein an expression of interest in entering into a joint venture (the "Joint Venture") with Hanover Industrial LLC (the "Sponsor") to develop North Forsyth Commerce Center, consisting of two to-be-constructed industrial buildings totaling approximately 327,600 SF located in Forsyth County, GA (the "Project", "Property", or "Transaction").

Transaction: The Joint Venture intends to develop, lease, and sell the Project. LP Partner has underwritten total project costs of \$[50.3] million, per the latest budget. The parties will mutually approve a final development budget that will be attached to the Definitive Documents (the "Development Budget").

Land Basis: The Land Basis in the Project budget will be based upon actual payment made to the third-party land seller. The total Land Basis for the project will be \$6.5 million.

Joint Venture Structure: The parties will form a Delaware limited liability company for the purposes of developing and operating the Project. The Joint Venture shall reimburse the parties at closing for all reasonable expenses and costs incurred in connection with the Project as set forth in the project budget except as contemplated herein, which shall include a reimbursement of Sponsor's internal legal expenses relating to Project specific work. Each of LP Partner and Sponsor shall be responsible for their own legal fees in association with preparing the Definitive Documents.

It is the intent of LP Partner and an affiliate of Sponsor (the "Sponsor Member") to close on the Joint Venture simultaneously with (i) the execution of a Guaranteed Maximum Price ("GMP") Contract consistent with a mutually agreed upon Development Budget, (ii) the closing of a mutually approved first mortgage construction loan, (iii) closing of the acquisition of the Property, and (iv) the issuance of a Land Disturbance Permit for the Project, in form sufficient to permit construction commencement.

Equity Capitalization: Equity capital contributions will be funded 95.0%/5.0% by LP Partner and Sponsor, respectively, except for Controllable Cost Overruns, as defined below. Hanover Member shall be entitled to call capital (which should be funded pro rata by the members) (i) monthly pursuant to the draw procedures in the Joint Venture operating agreement for committed capital, (ii) for Shared Cost Overruns and (iii) for Necessary Expenses. "Necessary Expenses" shall mean, taxes, insurance premiums and

deductibles, utilities, regularly scheduled debt services, costs required to comply with applicable laws and orders by applicable government agencies, costs for repairs that are necessary or prudent to protect health/safety or mitigate material damage to the Property, and expenses that have been approved by Sponsor Member and LP Partner as part of an approved budget.

Governance:

The Sponsor Member will be the managing member of the Joint Venture and shall be responsible for day-to-day oversight of the Joint Venture and the Project. The Sponsor Member will oversee all pre-development activities to secure the requisite entitlements, permits, and a GMP to commence development of the Project. The Sponsor shall also be responsible for accounting, reporting, preparing all budgets for LP Partner's approval, overseeing the lease-up and operations of the Project upon completion as well as managing the construction of the Project. The Joint Venture agreement will contain Managing Member removal provisions tied to breaches of the Joint Venture operating agreement; provided, that Sponsor's promoted interest shall be subject to forfeiture only in the event that Sponsor Member commits an act of gross negligence, willful misconduct, fraud, theft or misappropriation of Joint Venture funds (subject to certain cure rights for non-senior employee misconduct) in each case in respect of the Joint Venture. If LP Partner replaces Sponsor Member as managing member of the Joint Venture, LP Partner shall use commercially reasonable efforts to cause the lender to release Sponsor Member or its affiliate(s) as guarantor under any loan guaranties for events or circumstances arising after the replacement of Sponsor Member as managing member. If the lender fails to do so, LP Partner shall provide an indemnity agreement in favor of the guarantor from a creditworthy indemnitor with respect to any liability under such loan guaranties due to events or circumstances that occur after the replacement of Sponsor Member as managing member.

The Definitive Documents will set forth a list of major actions, decisions, commitments and expenditures of the Joint Venture (each a "Major Decision") that shall require the approval of LP Partner and Sponsor (including but not limited to selection and retention of property management and leasing agents, financing decisions, development plans, budget approvals, brokers for sale of the Project; adoption of and material changes to a business plan and budget; sale and/or refinance decisions; and filing for bankruptcy of the Joint Venture). The roles of LP Partner and Sponsor will be more particularly set forth in definitive Joint Venture documentation.

The parties shall agree on dispute mechanisms to be fully negotiated in the Joint Venture Agreement, including a refinancing mechanism that allows Sponsor to move forward with a short-term refinancing without the consent of LP Partner if Sponsor's loan guaranties are outstanding and loan maturity is imminent.

Financing:

It is the intent of the Joint Venture to seek non-recourse construction loan financing on commercially reasonable terms, at a loan-to-total-

development cost level between [55% and 60%]. Execution of the construction loan financing is expected to occur simultaneously with execution of the Definitive Documents and closing of Property acquisition.

Guaranties:

Any completion guaranty, carry guaranty, environmental indemnity, carve out guaranty, or principal repayment guaranty (if applicable) required by a construction loan lender shall be provided by the Sponsor in a form approved by Sponsor in its sole discretion. In addition, Sponsor shall provide to the Joint Venture (i) a guaranty of completion of the Project in a form reasonably acceptable to LP Partner and Sponsor, and (ii) a guaranty of Sponsor Member's obligation to fund Controllable Cost Overruns (the "Overrun Guaranty"); provided, that the Overrun Guaranty shall not include any warranty obligations of the General Contractor (or any subcontractor) or any design liability, and each of the foregoing guaranties in favor of the Joint Venture shall automatically terminate upon Substantial Completion of the Project. To the extent a bad boy carve-out (including a prohibited transfer) is triggered by LP Partner or there are no-fault events that trigger guaranties or indemnities under the loan agreement, LP Partner shall indemnify Sponsor for the full amount for any bad boy carve-out that is triggered by LP Partner and for its pro-rata share of any non-fault event, as applicable, and conversely, if Sponsor triggers a bad boy carve-out, it shall indemnify LP Partner for its actions. A joinder shall be executed by the entity signing the loan guaranties in the Definitive Documents backstopping these obligations. To the extent there are no-fault events that trigger guaranties or indemnities under the loan agreement, the associated costs shall be borne pro rata by the partners and Sponsor may call for additional capital contributions from the members to fund such indemnification liabilities.

Cost Overages:

The parties shall agree upon a construction budget at the closing of a guaranteed maximum price contract, which shall include a minimum 4.5% hard cost contingency. Sponsor Member will be required to pay 100% of all Controllable Cost Overruns. "Controllable Cost Overruns" shall mean all "hard costs" and "soft costs" for construction other than "Shared Cost Overruns."

"Shared Cost Overruns" means overruns pertaining to the following: (a) tenant improvement costs, leasing commissions, LP Partner's development consultant fees, inspecting engineer, legal fees, interest costs, operating deficits, real estate taxes, and insurance, (b) overruns arising directly from force majeure which shall include but not be limited to unforeseen subsurface conditions, new governmental changes, and new tariffs, and (c) costs related to scope changes, including upgrades or changes to the business plan approved by LP Partner. Shared Cost Overruns shall be funded by LP Partner and Sponsor pro rata.

Sponsor may utilize available contingency and line-item savings against any Controllable Cost Overrun (without the consent of LP Partner) to the extent permitted under the financing documents. Upon Substantial Completion and final accounting under the GMP Contract, all remaining

cost savings shall be applied first to fund (or reimburse the parties for) any Shared Cost Overruns incurred through Substantial Completion, and any balance thereafter shall be paid to Sponsor as a performance incentive.

Forced Sale:

Each of Sponsor and LP Partner shall have the right on or after the later to occur of (i) 12 months following the date of substantial completion and (ii) the date upon which the Project has achieved Stabilization. The exercising member shall name a price at which it would be willing to sell the Property. The non-exercising member shall then have thirty (30) days to elect to buy-out the exercising member's interest in the Property at the price implied by the exercising member's proposed purchase price. If the non-exercising member does not respond within thirty (30) days or the non-exercising member declines to transact at the named price, then the exercising member may proceed to sell the Project to an unaffiliated third party at no less than 98% of its proposed purchase price. If the Project does not sell within 98% of the proposed purchase price on or prior to the six month anniversary of the exercising member's triggering of the forced sale right, the process shall start again. Sponsor and LP Partner shall obtain releases from the applicable lenders of all of Sponsor and its affiliates obligations under any guarantees; provided, that if LP Partner is unable to obtain such releases, a creditworthy affiliate of LP Partner (acceptable to Sponsor in its sole discretion) shall indemnify Sponsor guarantor for all liabilities under any lender guarantee that arises after the date of such closing.

Property Management:

Joint Venture shall retain a recognized third-party commercial real estate management firm approved by Sponsor to manage the Property on behalf of the Joint Venture on market terms and for a market rate fee.

General Contractor:

An affiliate of the Sponsor will act as the General Contractor for the Project that will provide a Guaranteed Maximum Price Contract on Sponsor's form (the "GMP Contract") based on the final approved Construction Documents with a minimum contingency within the approved budget of 5%. The General Contractor fee shall be 4.5% of hard costs (excluding the fee itself). The GMP Contract will include a \$300K advance.

Development Fee:

The Sponsor will earn a market-rate development fee equal to 4.0% of hard costs and managed soft costs (excluding the development fee itself and the Land Basis). There will be no fee on Controllable Cost Overruns. An affiliate of Sponsor will enter into a development management agreement with the Joint Venture on terms acceptable to LP Partner and Sponsor. The Development Fee shall be payable as follows: 25% at Joint Venture closing, 65% on a monthly basis during the construction period based on a percentage of completion of the project, 10% at Substantial Completion.

Equity Funding Fee:

The Joint Venture shall pay an equity funding fee of \$125,000 to JLL, payable at the closing of the Joint Venture. The parties acknowledge that the equity funding fee has been reduced from the \$225,000 amount

reflected in the Development Budget because LP Partner's equity commitment was sourced directly and not procured by JLL. No additional placement, brokerage, or capital markets fees shall be payable by the Joint Venture or either party in connection with the equity capitalization of the Project.

Partner Funding Default:

In the event any party fails to fund a capital call in a timely fashion, the non-defaulting party may elect to fund on the defaulting party's behalf the defaulted amount of the applicable capital call. In this event, the contributing party's total contribution with respect to such capital call shall be treated as "Partnership Preferred Equity" and shall accrue at a rate of 18.0% per year (compounded annually). Further, if a party fails to contribute committed capital, such party shall lose its right to vote on Major Decisions until such failure is cured and the non-failing member may pursue any other remedies available at law or equity.

Cash Flow Distributions:

Cash flow available for distribution from operations or proceeds from a sale or refinancing (after expenses, debt service, and capital improvements) of the Project shall be distributed in the order and preference set forth below:

- i. Pro-rata based on any Partnership Preferred Equity and Shared Cost Overrun contributions until:
 - a. For Partnership Preferred Equity, the funding partners have received a return of such capital and an annually compounded IRR of 18.0%; and
 - b. For Shared Cost Overrun contributions, the funding partners have received a return of the Shared Cost Overrun contributions.
- ii. Pro rata between the parties until LP Partner has received a 10% annually compounded IRR with respect to all capital contributed by LP Partner to the Joint Venture;
- iii. 100% to Sponsor until Sponsor recoups all dollars funded for any development Controllable Cost Overruns funded by Sponsor or its affiliates;
- iv. 24% to Sponsor (20% promote) and 76% to LP Partner until LP Partner has received an amount equal to a 14% annually compounded IRR with respect to all capital contributed by LP Partner to the Joint Venture;
- v. 33.5% to Sponsor (30% promote) and 66.5% to LP Partner until LP Partner has received an amount equal to an 18% annually compounded IRR with respect to all capital contributed by LP Partner to the Joint Venture;
- vi. 43% to Sponsor (40% promote) and 57% to LP Partner thereafter.

All IRR and multiple calculations in levels (ii)-(v) of the waterfall will exclude returns on Partnership Preferred Equity.

Confidentiality

LP Partner, on its own behalf and on behalf of its partners, members, managers, officers, directors, employees, subsidiaries, affiliates, agents and representatives, agree (i) to treat any and all information (regardless of

the source thereof) concerning the Property, Joint Venture and the matters covered by this term sheet as confidential, (ii) that such information will be used solely for the purpose of evaluating the transactions contemplated hereby and not in any way directly or indirectly detrimental to Sponsor or its affiliates, and (iii) that such information will not be shared or disclosed to any outside parties other than to service providers engaged in the due diligence or operation of the Property under the terms outlined in this term sheet.

Non-Binding Agreement

Each of Sponsor and LP Partner acknowledges that (i) transactions of the type set forth in this term sheet involve many essential and nonessential terms and conditions and that there has not yet been a definitive statement of all the terms and conditions of the proposed transactions, and (ii) this term sheet is not intended to constitute an agreement to execute definitive agreements in the future. It is the intention and understanding of the parties that any definitive agreements, if executed, will contain all the terms and conditions deemed essential by them. Notwithstanding (a) anything contained in this term sheet to the contrary, (b) subsequent negotiations, (c) any action taken hereafter by Sponsor or LP Partner, or (d) any actual or claimed reliance, it is understood that, except for the obligations set forth herein under Confidentiality and Non-Binding Agreement neither Sponsor nor LP Partner will be legally bound in any manner unless and until definitive agreements have been prepared, executed and delivered.

[Signature Page Follows]

Please confirm that the foregoing accurately sets forth your understanding by signing the enclosed copy of this letter below where noted and returning the same to me on or before June 23, 2026.

Very truly yours,

KAO MANAGEMENT TRUST

By: _____

Name: William Kao

Title: Trustee

Accepted and Agreed to by:

HANOVER INDUSTRIAL LLC

By: _____

Name: Theresa Blades

Title: Chief Investment Officer